Inverse Statistical Geometry, Bayesian Causal Inference, and the Geometry of Identification

A Unified Theory of Observational Equivalence, Entropy Collapse, and Latent Signal Recovery

Soumadeep Ghosh

Kolkata, India

Abstract

Classical inference attempts to recover latent generators from observed statistical structures. Inverse Statistical Geometry (ISG) demonstrates that many statistical observables admit infinitely many latent realizations, implying non-identifiability and observational equivalence. Bayesian Causal Inference (BCI) introduces additional structural information capable of collapsing realization manifolds and restoring identification. This paper develops a unified mathematical framework combining inverse statistical geometry, causal inference, information theory, statistics, machine learning, economics, finance, political science, international relations, warfare economics, and epistemology. We define realization manifolds, identification numbers, entropy collapse, and degeneracy dimensions. A general identification theorem is established together with an information-geometric formulation. The resulting framework provides a mathematical theory of latent signal recovery under observational ambiguity.

The paper ends with "The End"

Contents

1 Introduction

Many scientific disciplines rely upon the implicit assumption:

$$\text{Observation} \implies \text{Underlying Reality}.$$

Examples include:

- econometrics,
- machine learning,
- finance,
- intelligence analysis,
- geopolitical forecasting,
- military reconnaissance,
- statistical signal extraction.

However, inverse statistical geometry suggests that this implication generally fails.
Observed statistical structures often admit many distinct latent generators.
Consequently:

$$\text{Observation} \not\Rightarrow \text{Unique Generator}.$$

The objective of this paper is to construct a unified theory explaining when unique identification is possible.

2 The Inverse Statistical Geometry Problem

Let

$$\mathcal{D}$$

denote a space of admissible generators.
Define a statistical mapping

$$R : \mathcal{D} \to \mathcal{S}.$$

Examples include

$$R(D) = \Sigma,$$

$$R(D) = \rho,$$

$$R(D) = \{\rho_k\}_{k=1}^{m},$$

$$R(D) = f(\omega),$$

where

- Σ is a covariance matrix,
- ρ is a correlation coefficient,
- ρ_k are autocorrelations,
- $f(\omega)$ is a spectral density.

Classical statistics studies

$$D \to R(D).$$

Inverse Statistical Geometry studies

$$R(D) = r.$$

3 Realization Manifolds

Definition 1 (ISG Realization Manifold)**.** *Given*

$$r \in \mathcal{S},$$

define

$$\mathcal{M}_r = \{D \in \mathcal{D} : R(D) = r\}.$$

The set

$$\mathcal{M}_r$$

contains all generators producing the same observable structure.

3.1 Interpretation

The realization manifold generalizes:

- correlation shells,
- covariance shells,
- latent-factor equivalence classes,
- statistically indistinguishable economies,
- observationally equivalent geopolitical systems.

4 Observational Equivalence

Definition 2. *Two generators*

$$D_1, D_2$$

are observationally equivalent if

$$R(D_1) = R(D_2).$$

Write

$$D_1 \sim D_2.$$

Theorem 1. *The relation*

$$\sim$$

is an equivalence relation.

Proof. Reflexivity:

$$R(D) = R(D).$$

Symmetry:

$$R(D_1) = R(D_2) \Rightarrow R(D_2) = R(D_1).$$

Transitivity:

$$R(D_1) = R(D_2),$$

$$R(D_2) = R(D_3)$$

imply

$$R(D_1) = R(D_3).$$

Therefore

$$\sim$$

is an equivalence relation.

□

5 Geometry of Non-Identifiability

Suppose

$$R$$

is differentiable.
Let

$$D_0 \in \mathcal{D}.$$

Assume

$$\operatorname{rank}(DR_{D_0}) = k.$$

Theorem 2 (Realization Manifold Dimension)**.** *Locally,*

$$\dim(\mathcal{M}_r) = \dim(\mathcal{D}) - k.$$

Proof. The result follows from the Implicit Function Theorem.

□

5.1 Interpretation

If

$$k < \dim(\mathcal{D}),$$

then

$$\dim(\mathcal{M}_r) > 0.$$

Consequently infinitely many generators exist.

6 Bayesian Causal Inference

Suppose causal information

$$C$$

is available.
Examples include:

$$X \to Y,$$
$$X \to Y \to Z.$$

Define

Definition 3. *The causal admissibility manifold is*

$$\mathcal{G}_C = \{D : D \textit{ satisfies } C\}.$$

7 Identification Geometry

Define

$$\mathcal{F} = \mathcal{M}_r \cap \mathcal{G}_C.$$

Definition 4 (Identification Number)**.** *The identification number is*

$$I(r, C) = |\mathcal{F}|.$$

Three regimes arise:

7.1 Non-Identifiable

$$I(r, C) = \infty.$$

7.2 Finite Ambiguity

$$1 < I(r, C) < \infty.$$

7.3 Unique Identification

$$I(r, C) = 1.$$

8 The ISG–BCI Identification Theorem

Theorem 3 (Strong Identification). *Suppose:*

1. $$R(D) = r$$
   is observed,
2. $$\mathcal{G}_C$$
   is known,
3. $$\mathcal{M}_r \cap \mathcal{G}_C = \{D^\star\}.$$

Then

$$D^\star$$

is uniquely identifiable.

Proof. Let

$$D \in \mathcal{M}_r \cap \mathcal{G}_C.$$

By assumption

$$D = D^\star.$$

No alternative admissible generator exists.
Therefore

$$D^\star$$

is uniquely identifiable.

□

9 Bayesian Formulation

Let

$$\pi(D)$$

denote a prior.
Bayes' theorem yields

$$P(D|r, C) = \frac{P(r|D, C)\pi(D)}{P(r|C)}.$$

Theorem 4. *If*

$$\mathcal{M}_r \cap \mathcal{G}_C = \{D^\star\},$$

then

$$P(D^\star|r, C) = 1.$$

Proof. Posterior support is restricted to

$$\mathcal{M}_r \cap \mathcal{G}_C.$$

Since this set contains exactly one element,

$$P(D^\star|r, C) = 1.$$

□

10 Entropy Collapse

Define posterior entropy

$$H(r, C) = -\int P(D|r, C) \log P(D|r, C)\, dD.$$

Theorem 5. *Unique identification implies*

$$H(r, C) = 0.$$

Proof. Unique identification yields

$$P(D|r, C) = \delta(D - D^\star).$$

The entropy of a Dirac measure is zero. □

11 Information Geometry

Let

$$\Theta$$

parameterize generators.

Define Fisher information

$$g_{ij} = E\left[\frac{\partial \log p}{\partial \theta_i} \frac{\partial \log p}{\partial \theta_j}\right].$$

This induces a Riemannian metric.

Definition 5 (Degeneracy Dimension)**.** *The ISG degeneracy dimension is*

$$\Delta = \dim(\mathcal{M}_r).$$

Interpretation:

$$\begin{array}{ll} \Delta = 0 & \text{Local Identifiability,} \\ \Delta > 0 & \text{Observational Ambiguity.} \end{array}$$

12 Algorithmic Identification

12.1 Pseudo-Code

INPUT:
    Observed structure r
    Causal information C
STEP 1:
    Construct realization manifold M_r
STEP 2:
    Construct causal manifold G_C
STEP 3:
    Compute $F = M_r \cap G_C$
STEP 4:
    Estimate posterior $P(D|r, C)$
STEP 5:
    Compute entropy $H(r, C)$
STEP 6:
    Evaluate identification number $I(r, C)$
OUTPUT:
    Identified generator D^*

13 Machine Learning Implications

Modern machine learning relies upon:

- latent embeddings,
- representation learning,
- attention geometry,
- foundation models.

ISG implies:

$$\text{Embedding Geometry} \not\Rightarrow \text{Unique Data Generator}.$$

BCI provides additional constraints capable of restoring identifiability.
Applications include:

- causal representation learning,
- adversarial robustness,
- synthetic data generation,
- latent state recovery.

14 Economic Implications

Different economies may generate identical observables.
Suppose

$$E_1 \neq E_2$$

yet

$$R(E_1) = R(E_2).$$

Then:

$$\text{Statistics} \not\Rightarrow \text{Unique Economy}.$$

This affects:

- DSGE estimation,
- macroeconomic forecasting,
- policy evaluation,
- structural identification.

15 Financial Implications

Finance frequently relies upon

$$\Sigma,$$

the covariance matrix.
However:

$$\Sigma \not\Rightarrow \text{Unique Market Structure}.$$

Implications include:

- hidden systemic fragility,
- covariance mimicry,
- adversarial market simulations,
- synthetic risk structures.

16 Political Science and Geopolitics

Statistical intelligence increasingly drives:

- geopolitical forecasting,
- intelligence fusion,
- strategic surveillance,
- AI-assisted policy analysis.

Inverse statistical geometry implies:

- synthetic geopolitical signals,
- observational ambiguity,
- strategic deception,
- adversarial informational structures.

17 Warfare Economics

Modern military systems depend upon:

- probabilistic targeting,
- sensor fusion,
- reconnaissance,
- autonomous systems.

ISG implies that statistically plausible battlefield signatures may be synthesized. Examples include:

- synthetic logistics,
- decoy networks,
- adversarial sensor correlations.

Consequently warfare increasingly becomes a competition over:

$$\text{Control of Observable Statistical Geometry.}$$

18 Epistemology

Classical empiricism assumes:

$$\text{Observation} \to \text{Truth}.$$

ISG weakens this:

$$\text{Observation} \to \text{Equivalence Class}.$$

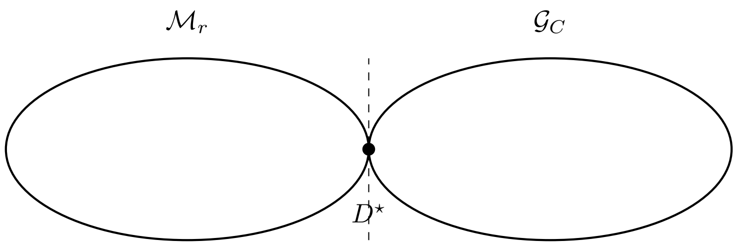
BCI restores identification:

$$\text{Observation} + \text{Causality} \to \text{Truth}.$$

The resulting framework provides a middle ground between:

- naive empiricism,
- radical skepticism.

19 Geometric Visualization



The unique intersection corresponds to complete identification.

20 The ISG–BCI Completeness Conjecture

Theorem 6 (Conjectural Form)**.** *For every observable structure*

$$r,$$

the following are equivalent:

1. $$I(r, C) = 1,$$
2. $$\dim(\mathcal{M}_r \cap \mathcal{G}_C) = 0,$$
3. $$H(r, C) = 0.$$

This conjecture would unify:

- geometry,
- causality,
- information theory,
- identification.

21 Conclusion

Inverse Statistical Geometry establishes that observed statistical structures generally fail to uniquely determine latent generators.

Bayesian Causal Inference introduces additional constraints capable of collapsing realization manifolds and restoring identification.

The resulting framework unifies:

- statistics,
- machine learning,
- information theory,
- economics,
- finance,
- political science,
- international relations,
- warfare economics,
- epistemology.

The central principle becomes:

$$\boxed{\text{Observation} + \text{Causality} = \text{Identification}}$$

while

$$\boxed{\text{Observation Alone} = \text{Observational Equivalence}}$$

in general.

Tables

Table 1: Identification Regimes

Case	Identification Number	Interpretation
Non-Identifiable	$I = \infty$	Infinite Generators
Finite Ambiguity	$1 < I < \infty$	Multiple Generators
Unique	$I = 1$	Single Generator

Table 2: Cross-Disciplinary Implications

Domain	Consequence
Statistics	Non-identifiability
Machine Learning	Latent ambiguity
Economics	Structural equivalence
Finance	Covariance mimicry
Political Science	Strategic ambiguity
International Relations	Synthetic signals
Warfare Economics	Statistical camouflage
Philosophy	Epistemic underdetermination

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Glossary

Bayesian Causal Inference
Inference using probabilistic causal models and posterior updating.

Degeneracy Dimension
The dimension of the realization manifold.

Entropy Collapse
The transition from positive posterior entropy to zero entropy.

Identification Number
The cardinality of the feasible generator set.

Inverse Statistical Geometry
The study of constructing generators from prescribed statistical structures.

Observational Equivalence
Distinct generators producing identical observables.

Realization Manifold
The set of generators consistent with a fixed observable structure.

Statistical Geometry
The geometric structure induced by statistical constraints.

The End